Private Retirement Plan

Effective Date: 25/07/2025
Managed by: ICUE in collaboration with Manulife Vietnam (or Prudential Vietnam for retirement insurance products)

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1. Purpose & Scope of Application

This plan is designed to support employees in preparing financially for retirement through regular contributions and internal share accumulation.
Scope:
• Applies to all full-time employees with at least 12 months of continuous service.
• Does not apply to temporary contract employees or freelancers.

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2. Program Structure

2.1. Financial Components

• **Employee Contribution**: Minimum 2%, maximum 10% of basic monthly salary.
• **Company Contribution**: Matches 50% of the employee's contribution (e.g., employee contributes 3 million VND → company adds 1.5 million VND).
• **Investment Channels**:

- 70% allocated to Manulife/Prudential retirement fund.
- 30% converted into internal shares at a fixed valuation.

2.2. Internal Valuation & Conversion

• Current internal share price: 50,000 VND/share (not publicly traded).
• During IPO or acquisition, internal shares convert to listed shares or cash based on market value at the time.

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3. Participation Process

Step 1: Confirm eligibility (≥12 months of continuous service).
Step 2: Complete the Participation Form with a copy of ID/passport.

Step 3: Select contribution rate (2%–10%).
Step 4: HR submits details to the service provider (Manulife/Prudential).
Step 5: Contributions begin from the next payroll cycle.

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4. Calculation Example

Employee A – Basic Salary: 20,000,000 VND/month
• Personal contribution: 5% = 1,000,000 VND/month
• Company contribution: 500,000 VND/month
• Total monthly investment: 1,500,000 VND

- 1,050,000 VND to retirement fund
- 450,000 VND for internal shares (9 shares/month)

Assuming 7% annual fund return, after 20 years:
• Fund value ≈ 520,000,000 VND
• Internal shares (assumed IPO price: 150,000 VND/share) ≈ 324,000,000 VND
• Total ≈ 844,000,000 VND

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5. Frequently Asked Questions

Q: What happens if I resign before retirement?
A: You can:

1. Retain the fund and shares until retirement age.
2. Request withdrawal (may incur penalties or loss of company contributions).

Q: What happens to internal shares if the company goes bankrupt?
A: Shares lose value unless there's a restructuring or acquisition. The retirement fund with Manulife/Prudential remains secure as it's independently managed.

Q: Can I change my contribution rate?
A: Yes, up to 2 times per year.

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6. Real-Life Scenarios

Case 1: Employee B contributes 3% of salary; after 10 years, the company IPOs with shares valued 4x higher, yielding higher profits than the fund.
Case 2: Employee C contributes 8% but withdraws after 5 years, losing company contributions per policy terms.

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7. Legal & Compliance Notes

• The retirement fund is managed under Vietnam’s Insurance Business Law and Ministry of Finance regulations.
• Internal shares are not publicly traded securities and carry higher risk than the retirement fund.
• The company does not guarantee profits from internal shares.

📊 Appendix: Simulated Fund Growth (7% annual compound interest)

YEAR	TOTAL CONTRIBUTIONS (VND)	RETIREMENT FUND VALUE	INTERNAL SHARES	SHARE VALUE (ASSUMED IPO PRICE)	TOTAL VALUE
5	90,000,000	105,000,000	540	81,000,000	186,000,000
10	180,000,000	262,000,000	1,080	162,000,000	424,000,000
20	360,000,000	520,000,000	2,160	324,000,000	844,000,000